

26STCV07038 26STCV07038

County: los-angeles

Division: Civil Law and Motion

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Case Number: 26STCV07038 Hearing Date: August 12, 2026 Dept: 732

U.S. Specialty Insurance Company v. John Fitzgerald

Bass, et al.

Wednesday, August

12, 2026

CASE NUMBER: 26STCV07038

UNOPPOSED

Plaintiff U.S. Specialty Insurance

Company's Motion for Order of Discharge, Award of Costs and Attorney's Fees,
for Deposit, and for Dismissal

Facts: Plaintiff

U.S. Specialty Insurance Company ("Plaintiff" or "USSIC") initiated this action in interpleader against defendants John Fitzgerald Bass d/b/a Pacific Coast Sales and Finance ("Bass"), Magdel, Inc. d/b/a Royal Finance Group ("Magdel"), State of California Department of Motor Vehicles ("DMV"), Redwood Lending Services ("RLS"), and DOES 1 through 50, inclusive (collectively, "Defendants").

Plaintiff alleges the

following: On or about November 8, 2024, Plaintiff as a surety and Bass, as

principal, made, executed, and delivered a certain Motor Vehicle Dealer Bond, Bond No. 100904086 ("Bond") pursuant to Sections 11710 and 11711 of the California Vehicle Code in the sum of \$50,000.00. (Compl. ¶ 5.) Plaintiff alleges that provisions of the Bond, and pursuant to Sections 11710 and 11711 of the California Vehicle Code, limit liability to Defendants. (Id. ¶ 6.) This liability is "not to exceed the value of the vehicle purchased or sole to the dealer, and not to exceed the penal sum set forth in said section." (Id.)

Plaintiff further alleges that

"the Bond was in effect at the time of the occurrence of the event described herein." (Compl. ¶ 8.) "Defendants, and each of them, have made claims that are adverse and conflicting and USSIC cannot determine which claim or ascertain what amount of USSIC's obligations should be paid to either Defendant. In addition to the claims asserted by the Defendants or to be asserted by the Defendants as alleged herein, Plaintiff fears that it may face additional claims or suits against its Bond." (Id. ¶ 9.) "USSIC is in doubt as to which of these Defendants, if any, USSIC may be required to satisfy and what proportion of the total amount of USSIC's obligation should be equitably distributed between or among the Defendants, and each of them." (Id.) "USSIC has no interest in any part of any claim heretofore tendered save and except that if the total amount of all adjudicated claims is less than the maximum penal sum of the bond, then USSIC is liable only for such aggregate sum and no more." (Id. ¶ 10.)

Among other relief sought,

Plaintiff "seeks to interplead and be discharged and dismissed upon the disputed \$50,000.00 funds deposited with the court, pursuant to Code of Civil Procedure § 386 et seq." (Compl. ¶ 11.)

Procedural History: On March 4, 2026, Plaintiff filed a Complaint in Interpleader against Defendants.

On April 1, 2026, defendant Magdel filed an answer.

On April 2, 2026, defendant RLS filed an answer.

On April 10, 2026, defendant DMV filed an answer.

On April 24, 2026, defendant
Bass, in pro per, filed an answer.

On July 6, 2026, Plaintiff
filed and served the instant Motion for Order of Discharge, Award of Costs and
Attorney's Fees, for Deposit, and for Dismissal (the "Motion").

Plaintiff seeks the following order
pursuant to the Motion: (1) Plaintiff be discharged from all liability
regarding the rights and obligations of the parties to this action arising out
of the execution of the Bond, to which Defendants have made claims; (2)
Plaintiff be awarded fees and costs in the amount of \$3,000.00 from the penal
sum of the bond, and Plaintiff shall deposit the remaining \$47,000.00 with the
Clerk of the Court; (3) Defendants, and each of them, and their respective
attorneys, be restrained from instituting or further prosecuting any other
proceeding in any court in California for recovery against the bond; (4)
Plaintiff be dismissed from this action with prejudice; (5) the court be
substituted in Plaintiff's place to handle the remainder of the Interpleader;
and (6) the court set trial for the remaining defendant parties to litigate
their respective rights to the Bond, and to enter default judgment as to
defendant parties who fail to plead or otherwise defend, thus resulting in the
adjudication of the Interpleader. (Not. of Mot. at p. 1:27-2:10.)

On August 5, 2026, Plaintiff
filed and served a notice of non-opposition to the Motion.

As of Friday, August 7, 2026,
as of 9:15 A.M., no written opposition has been filed to the Motion. Any
opposition was required to have been filed and served at least nine court days
prior to the hearing. (Code Civ. Proc., § 1005, subd. (b).) The lack of written
opposition may be deemed as consent to the granting of the motion. (Cal. Rules
of Court, Rule 8.54(c).)

Analysis:

I.

MOTION FOR
ORDER OF DISCHARGE, AWARD OF COSTS AND ATTORNEY'S FEES, FOR DEPOSIT, AND FOR
DISMISSAL

“Any person, firm, corporation, association or other entity against whom double or multiple claims are made, or may be made, by two or more persons which are such that they may give rise to double or multiple liability, may bring an action against the claimants to compel them to interplead and litigate their several claims.” (Code Civ. Proc., § 386, sub. (b).)

“When the person, firm, corporation, association or other entity against whom such claims are made, or may be made, is a defendant in an action brought upon one or more such claims, it may either file a verified cross-complaint in interpleader, admitting that it has no interest in the money or property claimed . . . and alleging that all or such portion is demanded by parties to such action, and apply to the court upon notice to such parties for an order to deliver such money or property . . . to such person as the court shall direct; or may bring a separate action against the claimants to compel them to interplead and litigate their several claims.” (Code Civ. Proc., § 386, subd. (b).)

“After any such complaint or cross-complaint in interpleader has been filed, the court in which it is filed may enter its order restraining all parties to the action from instituting or further prosecuting any other proceeding in any court in this state affecting the rights and obligations as between the parties to the interpleader until further order of the court.” (Code Civ. Proc., § 386, subd. (f).)

“Where the only relief sought against one of the defendants is the payment of a stated amount of money alleged to be wrongfully withheld, such defendant may, upon affidavit that he is a mere stakeholder with no interest in the amount or any portion thereof and that conflicting demands have been made upon him for the amount by parties to the action, upon notice to such parties, apply to the court for an order discharging him from liability and dismissing him from the action upon depositing with the clerk of the court the amount in dispute and the court may, in its discretion, make such order.” (Code Civ. Proc. § 386.5.)

“A party to an action who follows the procedure set forth in Section 386 or 386.5 may insert in his motion, petition, complaint, or cross complaint a request for allowance of his costs and reasonable attorney fees incurred in such action.” (Code Civ. Proc.,

§ 386.6, subd. (a).) “In ordering the discharge of such party, the court may, in its discretion, award such party his costs and reasonable attorney fees from the amount in dispute which has been deposited with the court.” (Id.)

“At the time of final judgment in the action the court may make such further provision for assumption of such costs and attorney fees by one or more of the adverse claimants as may appear proper.” (Id.)

In support of the Motion, Frank M.

Lanak (“Lanak”), who is the Vice President, Bond Claims of USSIC provides a declaration. Mr. Lanak states, inter alia, that on or about November 8, 2024, USSIC, as principal, made, executed, and delivered the Bond in the sum of \$50,000.00. (Lanak Decl. ¶ 4.) “Based on the disputes by multiple defendants, USSIC is uncertain how much to pay to the claimants or to claimants in the future who may make demand upon its bond.” (Id. ¶ 8.) Plaintiff “is a mere stakeholder with no interest in the \$50,000.00 disputed amount or any portion thereof.” (Id. ¶ 9.) “[T]his bond is subject to claims that may give rise to multiple liability.” (Id.)

Plaintiff “seeks to be discharged from liability with regard to the [B]ond, dismissed with prejudice, and USSIC seeks recovery of its attorney’s fees and costs incurred of \$3,000.00 out of the \$50,000.00 disputed amount of the [B]ond deposited with the Clerk of the Court, and upon the court’s order, will deposit the \$47,000.00 remaining with the court. USSIC seeks an order for dismissal and order restraining Defendants from instituting or further prosecuting any other proceeding in any court of this state relating to USSIC’s Motor Vehicle Dealer Bond No. 100904086. (Lanak Decl. ¶ 10.)

Amber Kim (“Kim”), who is counsel for Plaintiff, provides a declaration in support of the Motion. Attorney Kim declares, inter alia, that “[e]xclusively in connection with the interpleader cause of action herein, USSIC incurred attorney fees and costs in preparing the interpleader complaint, correspond with in (sic) claimants’ attorney regarding this interpleader and, prepare [the] instant Motion . . . and include anticipated fees and motion costs incurred for the motion appearance.” (Kim Decl. ¶ 2.) “As of June 18, 2026, USSIC has incurred \$3,729.36 in fees and costs in bringing this action.” (Id. ¶ 4.)[1] Counsel attests to the reasonableness of attorneys’ fees and costs sought. (Id. ¶¶ 6-8.) “USSIC requests that \$3,000.00 be deducted from the penal sum of the bond as reasonable attorney’s fees and costs for USSIC.” (Id. ¶ 11.) “Thereafter,

upon the Court's [o]rder to [d]eposit, USSIC will deposit the remaining bond funds in the amount of \$47,000.00." (Id. ¶ 12.)

The court finds that the relief requested in the Motion is warranted. The court finds that Plaintiff has established that there is a dispute among multiple claimants concerning the Bond. Moreover, Plaintiff has followed the appropriate interpleader procedure pursuant to Code of Civil Procedure Section 386. Moreover, the request to "restrain[] all named Defendants from instituting or further prosecuting any other proceeding in any court in this state" is appropriate. (Memo. of Ps and As at p. 6:6-7.) Moreover, the court finds that it is appropriate to award Plaintiff reasonable attorneys' fees and costs pursuant to Code of Civil Procedure section 386.6. Critically, due to the lack of any written opposition, Defendants have conceded to the arguments raised in the Motion. (See Moulton Niguel Water Dist. v. Colombo (2003) 111 Cal.App.4th 1210, 1215 ["Contentions are waived when a party fails to support them with reasoned argument and citations to authority."].)

Based on the foregoing, the Motion is GRANTED in its entirety.

Superior Court of California

County of Los Angeles

Department 732

U.S. SPECIALTY INSURANCE COMPANY,

Plaintiff,

v.

JOHN FITZGERALD BASS, et al.,

Defendants.

Case No.:

26STCV07038

Hearing Date: August 12, 2026

[TENTATIVE] RULING RE:

PLAINTIFF U.S. SPECIALTY INSURANCE COMPANY'S MOTION FOR ORDER OF
DISCHARGE, AWARD OF COSTS AND ATTORNEY'S FEES, FOR DEPOSIT, AND FOR DISMISSAL
OF U.S. SPECIALTY INSURANCE COMPANY

Plaintiff

U.S. Specialty Insurance Company's Motion for Order of Discharge, Award of
Costs and Attorney's Fees, for Deposit, and for Dismissal of U.S. Specialty
Insurance Company is GRANTED in its entirety.

Counsel for Plaintiff to provide notice.

Dated: August 12, 2026

Hon.

Richard S. Kemalyan

Judge

of the Superior Court

[1]

Although citing to Exhibit 1, no exhibits are attached to the declaration of
Attorney Kim.